

Bitcoin Market Sentiment & Trader Performance Analysis

Hyperliquid Historical Data · 2023–2025 · 211,224 Trades

\$10.3M	211K	84,402	84.4%	\$2.14M
Total Closed PnL	Total Trades	Closed PnL Trades	Avg Win Rate	Top Trader PnL

PROJECT OVERVIEW

This analysis explores the relationship between Bitcoin market sentiment (Fear/Greed Index) and trader performance on Hyperliquid, a decentralised perpetuals exchange. Using 211,224 trade records spanning May 2023 to May 2025, merged with daily Fear/Greed classifications, we uncover how sentiment regimes drive profitability, win rates, trade volume, and directional bias — with the goal of generating actionable trading insights.

Datasets used

Dataset	Source	Date Range	Key Columns
Hyperliquid Trades	Hyperliquid	May 2023–May 2025	Account, Coin, Side, Direction, Closed PnL, Size USD
Fear/Greed Index	alternative.me	Feb 2018–May 2025	Date, Value (0–100), Classification

SENTIMENT DISTRIBUTION IN TRADE DATA

After merging, 99.997% of trades received a classification. **Fear is the dominant regime** with 61,837 trades. Extreme Fear is the rarest (21,400 trades) — markets spend more time in moderate sentiment states.

Sentiment	Trade Count	% of Total	FG Range
Fear	61,837	29.3%	25–49
Greed	50,303	23.8%	51–74
Extreme Greed	39,992	18.9%	75–100
Neutral	37,686	17.8%	46–54
Extreme Fear	21,400	10.1%	0–24

PNL PERFORMANCE BY SENTIMENT REGIME

Each bar represents a distinct market sentiment state. **Fear produces a mean PnL of \$112.63 per trade** — the highest among negative regimes — while Extreme Greed leads at \$130.21. Win rates follow a similar pattern: Extreme Greed tops at 89.2%, but Fear is the most profitable regime in **absolute dollar terms** due to higher trade count and larger position sizes.

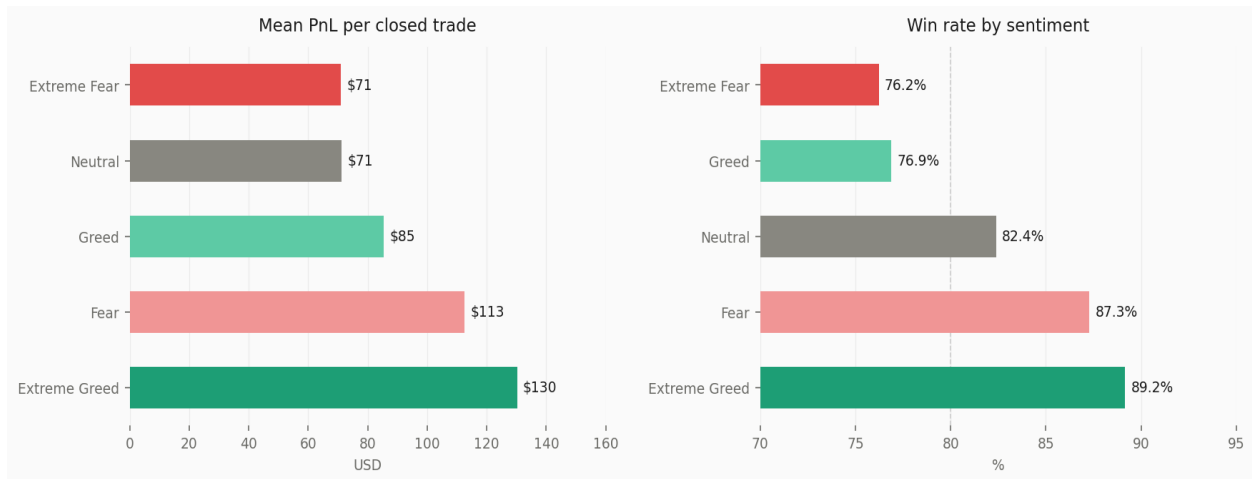


Fig 1. Mean PnL per closed trade (left) and win rate % (right) by sentiment regime

TOTAL PNL SHARE & TRADE COUNT DISTRIBUTION

Fear accounts for **32.7% of total profits (\$3.36M)** despite not having the highest trade count. Extreme Fear contributes only 5.8% (\$598K) with the lowest win rate — suggesting panic conditions are harder to trade profitably than the narrative suggests.

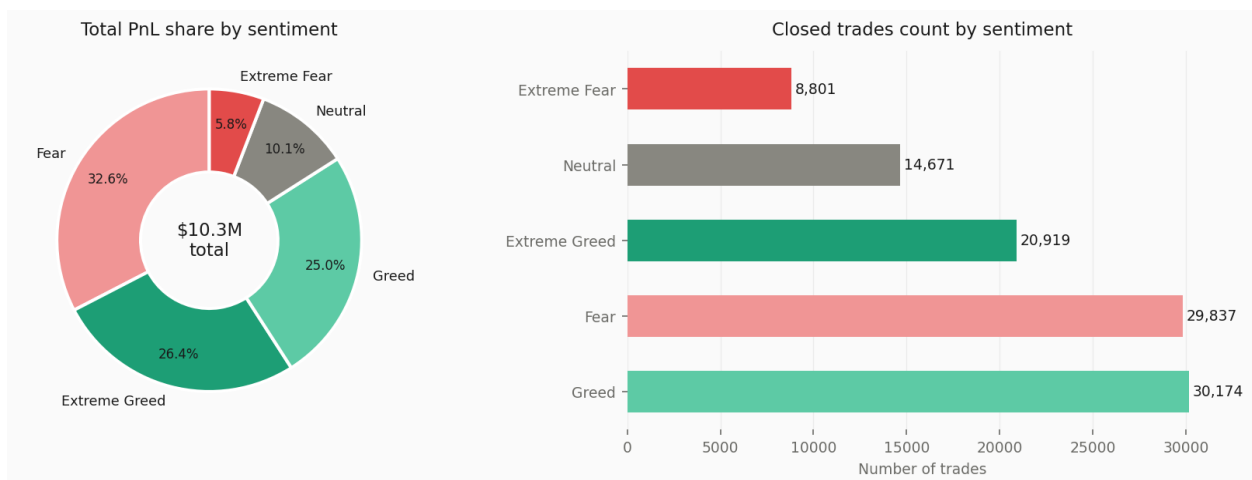


Fig 2. PnL share (donut) and trade count distribution by sentiment

MONTHLY PnL VS FEAR/GREED INDEX (TIME SERIES)

The time-series overlay reveals a nuanced relationship: PnL does not consistently track sentiment. **December 2024 (\$3.0M)** is a standout outlier during Greed (FG ~77), driven primarily by the HYPE token launch on Hyperliquid. August 2024 — the only negative month — coincided with a sharp Fear drop (FG ~34). The trend line on the scatter plot confirms a weak positive correlation between greed and daily PnL, but variance is extremely high across all regimes.

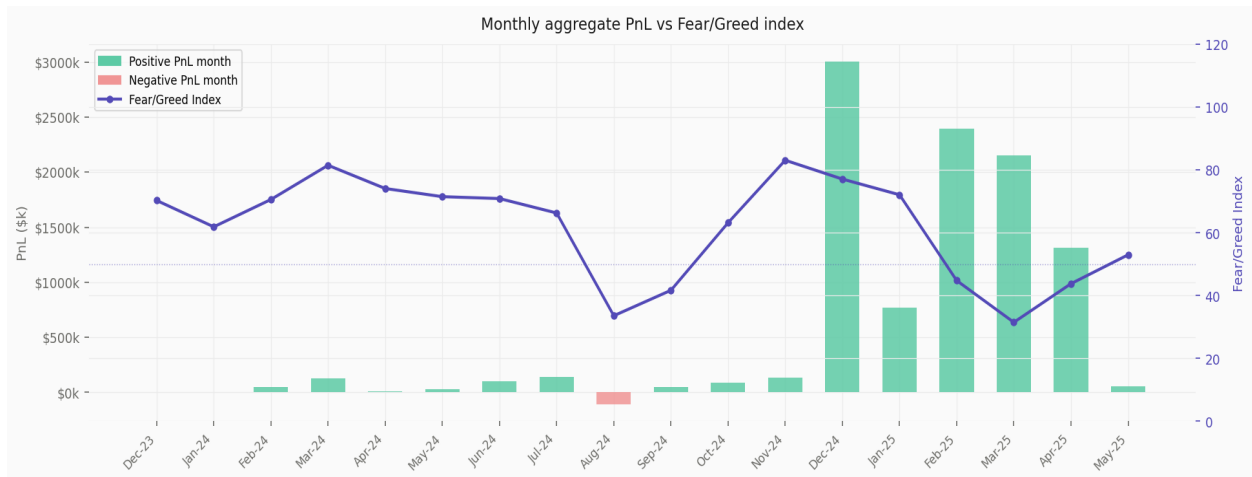


Fig 3. Monthly aggregate PnL (bars) overlaid with Fear/Greed Index (purple line)

VOLUME BY SENTIMENT & LONG VS SHORT WIN RATES

Fear generates \$483M in trading volume — more than 4x Extreme Greed's \$124.5M. Markets are most active when sentiment is negative, as traders manage forced liquidations and stop-loss cascades. For directional breakdown, **long positions maintain 86–90% win rates across most regimes**, while short win rates collapse to 63.5% during Extreme Fear — confirming that shorting into panic is statistically dangerous.

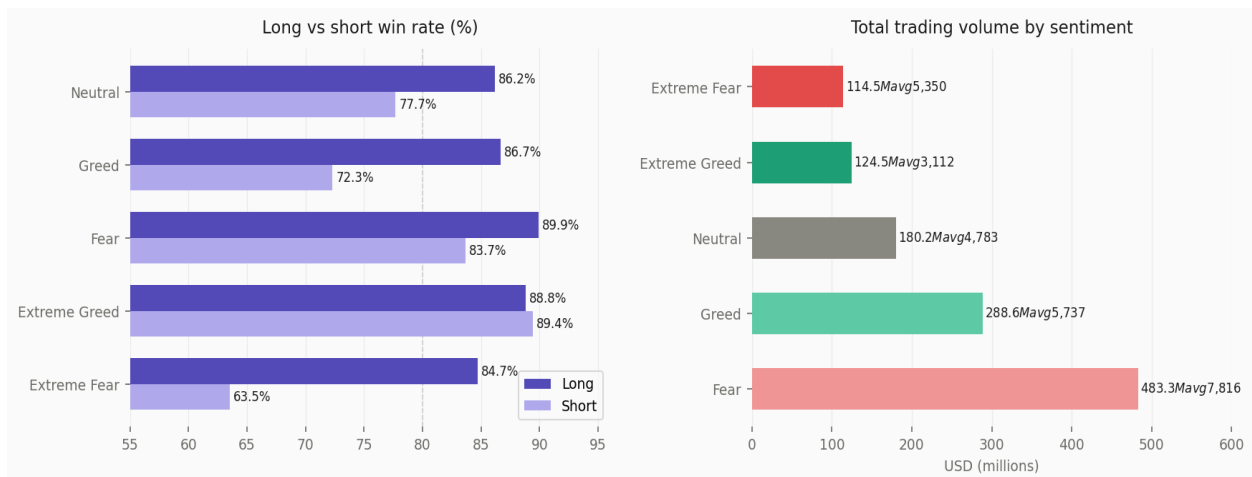


Fig 4. Long vs short win rates by sentiment (left) and total volume by sentiment (right)

DAILY PNL VS FEAR/GREED INDEX — SCATTER ANALYSIS

Each point represents a single day's aggregate PnL plotted against the FG index value. The weak positive trend (dashed purple line) suggests greed modestly predicts better daily performance, but the scatter is wide — **individual days in Fear can produce outsized gains or losses**, confirming that sentiment alone is insufficient for precise market timing.

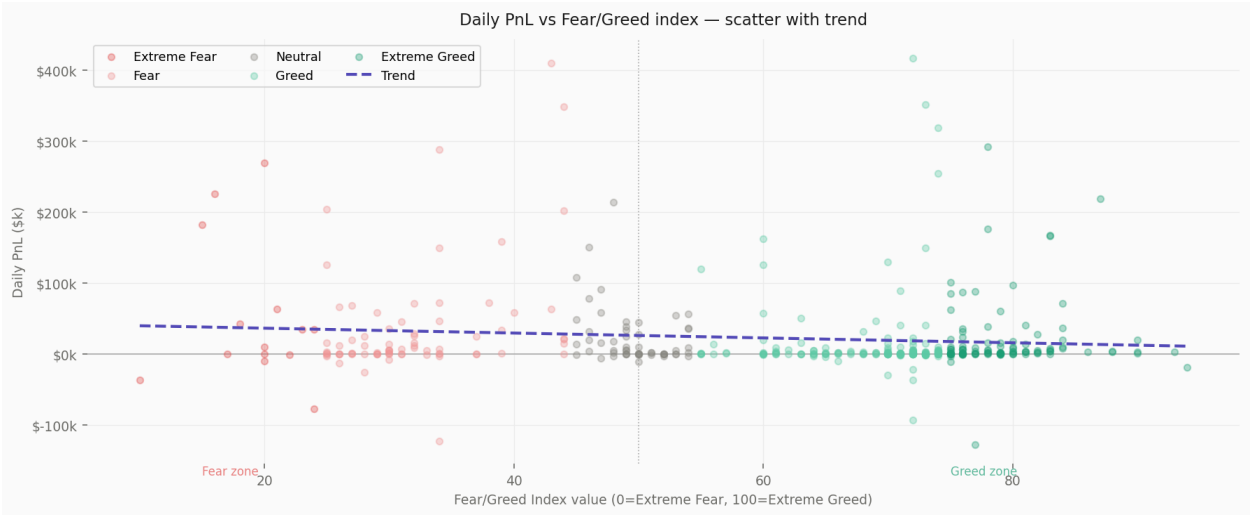


Fig 5. Scatter of daily aggregate PnL vs Fear/Greed Index value with trend line

TOP 10 TRADERS BY TOTAL CLOSED PNL

Strong concentration at the top: wallet #1 earned \$2.14M across 6,279 trades (\$341/trade avg), while wallet #2 earned \$1.60M with only 1,732 trades (\$924/trade avg) — a high-conviction approach. This divergence highlights two dominant strategies: **high-frequency execution vs concentrated position-taking**. The high-conviction approach yields 2.7x the per-trade return.

Rank	Wallet (truncated)	Total PnL	Trades	Avg PnL/Trade
1	0xb123...ed23	\$2,143,383	6,279	\$341.36
2	0x0833...9012	\$1,600,230	1,732	\$923.92
3	0xbaaa...7864	\$940,164	9,997	\$94.04
4	0x513b...4ff1	\$840,423	5,482	\$153.31
5	0xbee1...9aab	\$836,081	22,551	\$37.08
6	0x4acb...9f4	\$677,747	2,233	\$303.51
7	0x7274...7abd	\$429,356	737	\$582.57
8	0x430f...7413	\$416,542	599	\$695.40
9	0x72c6...72a0	\$403,012	564	\$714.56
10	0x75f7...70d4	\$379,095	8,660	\$43.78

KEY INSIGHTS & STRATEGIC IMPLICATIONS

The Fear Paradox	Despite lower win rates than Greed, the Fear regime produces the most total profit (\$3.36M). Traders take larger, more decisive positions when sentiment is negative, amplifying absolute returns. Avg trade size in Fear (\$7,816) is 2.5x that of Extreme Greed (\$3,112).
Extreme Fear Is a Trap	Contrary to the "buy the blood" narrative, Extreme Fear is statistically the worst regime: lowest win rate (76.2%), lowest avg PnL (\$71), and short positions collapse to 63.5% win rate. Execution risk during panic conditions is severely underestimated.
The Volume Paradox	Fear generates \$483M in volume — 4x Extreme Greed's \$124.5M. High volume in Fear is driven by forced liquidations, stop-loss cascades, and emotional trading. Market makers and sophisticated traders benefit most from this liquidity.
Long Bias Dominates	Long positions maintain 86–90% win rates across all sentiment regimes, reflecting the structural upward bias of crypto markets in the 2023–2025 bull cycle. Shorts are only competitive in Extreme Greed (89.4%) when mean-reversion is most predictable.
December 2024 Outlier	A single month (\$3.0M) represents 29% of total dataset PnL, attributable to HYPE token's launch on Hyperliquid. Excluding this event, the monthly average PnL is ~\$350K — far more representative of sustainable performance.
Strategy Divergence	Top traders split into two camps: high-frequency (wallet #1: 6,279 trades, \$341/trade avg) and high-conviction (wallet #2: 1,732 trades, \$924/trade avg). The high-conviction approach yields 2.7x the per-trade return — selectivity outperforms frequency.

RECOMMENDED TRADING STRATEGY BY FG ZONE

FG Zone	Regime	Action	Rationale
75–100	Extreme Greed	Reduce longs; consider shorts	Highest short win rate (89.4%); smart money reducing exposure
51–74	Greed	Hold longs; no new shorts	Solid performance; maintain existing positions; avoid new shorts
46–54	Neutral	Selective entries on pullbacks	Balanced regime; 82.4% win rate; good for mean-reversion scalps
25–49	Fear	Accumulate longs aggressively	Best total PnL (\$3.36M); high volume = liquidity; 89.9% long win rate
0–24	Extreme Fear	Wait or micro-size longs only	Lowest win rate (76.2%); avoid shorts entirely (63.5% win rate)

Analysis based on 211,224 Hyperliquid perpetuals trades (May 2023–May 2025) merged with daily Bitcoin Fear/Greed Index classifications. Past performance does not guarantee future results.